

Investment Analysis Dashboard

Net Present Value

\$4,740,921

Internal Rate of Return

12%

Profitability Index

1.47

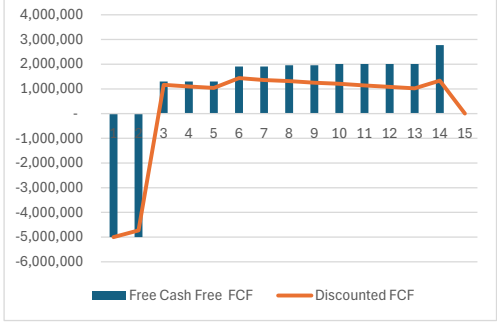
Payback Period from year 0

8.17

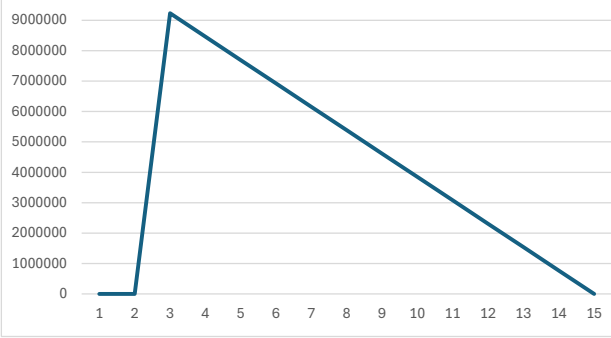
DPP from year 0

9.87

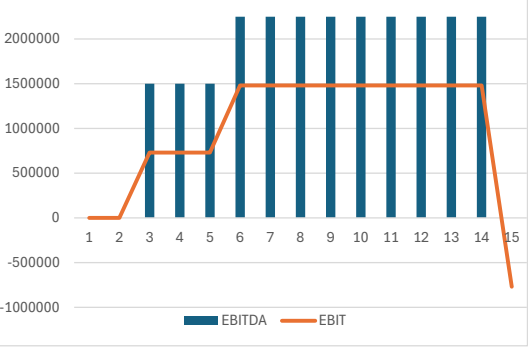
Cash Flow Analysis



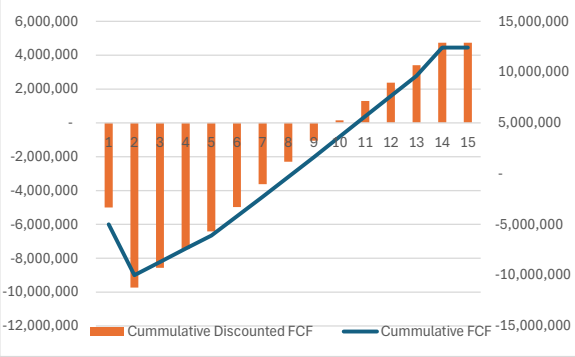
Salvage Value (Scrap)



EBITDA And EBIT



Cummulative Cash Flow



According to the the profitability indicators, here is what can be understood:

-A positive NPV indicates that the project is expected to generate value beyond the cost of capital. In this case, the NPV of 4,740,921 suggests the project is profitable and adds value to the firm.

-A 12% IRR is generally acceptable, but its attractiveness depends on the company's cost of capital. If the cost of capital is lower than 12%, the project is profitable.

-The 9.87-year DPP means that the initial investment will be recovered in present value terms 9.87 years after the start of construction. Since the project starts generating cash flows in Year 2, the DPP implies that the payback occurs 7.87 years after the project becomes operational (i.e., 9.87 - 2 = 7.87 years). This is a longer payback period than the regular PP, reflecting the impact of discounting and the back-loaded nature of the cash flows.

-Since the project has a 2-year construction phase, the 8.17-year payback period means that the initial investment of 10,000,000 will be recovered 8.17 years after the start of construction. This implies that the project will start generating cash flows in Year 2, and the payback will occur 6.17 years after the project becomes operational (i.e., 8.17 - 2 = 6.17 years). This is still a relatively long payback period, which may indicate higher risk or lower liquidity, but it is more reasonable when considering the 2-year construction phase.

-A PI greater than 1 indicates that the project is profitable. A PI of 1.47 means that for every dollar invested, the project generates \$1.47 in present value terms. This is a strong indicator of profitability.

The investment is profitable based on the NPV, IRR, and PI. However, the payback and discounted payback periods are still relatively long, even after adjusting for the 2-year construction phase. This suggests that the project may be riskier or less liquid, particularly because the cash flows are back-loaded. If the company's cost of capital is lower than 12% and it is comfortable with the longer payback periods, the project is likely a good investment. Otherwise, the company may need to consider the risk associated with the delayed cash flows.